

HUT300 - INDUSTRIAL ECONOMICS & FOREIGN TRADE

COMPREHENSIVE QUESTION BANK

MODULE 1

3 MARKS

1. **State law of demand and discuss on three exceptions to it.** (Jan 2024)
2. **What are the central problems of an economy?** (Jan 2024, Dec 2022)
3. **Describe about opportunity cost with an example.** (June 2023)
4. **List out the advantages and disadvantages of Joint Stock Company.** (June 2023, Dec 2022)
5. **Describe factors of production.** (June 2022)
6. What should be the percentage change in price of a product if the sale is to be increased by 50 percentages and its price elasticity of demand is 2? (June 2022)
7. **What is the economic significance of opportunity cost?** (June 2022)
8. **Define marginal utility.** (June 2022)
9. **Why does the problem of choice arise in an economy?** (Dec 2021)
10. **What is inelastic demand?** (Dec 2021)
11. What are the determinants of supply? (May 2023)
12. **What are the basic economic problems?** (Dec 2021)
13. **Explain Production Possibility Curve.** (Dec 2021)

7 MARKS

1. **Explain with a diagram, the concept of opportunity cost and its linkage with PPC.** (Jan 2024)
2. **What is the law of Diminishing marginal utility? Explain the law with the help of an empirical example.** (Jan 2024)
3. **What are the types of price elasticity of demand?** (Jan 2024)
4. Calculate advertisement elasticity of demand. At an initial advertisement expenditure of Rs.50000, the demand for a firm's product is 80,000 units. When the advertisement budget is increased to Rs.60000, the sales value increased to 90,000 units. (Jan 2024)
5. **Diagrammatically explain deadweight loss of taxation.** (Jan 2024)
6. **What is a production possibility curve? Explain with the help of a production possibility curve:**
 - Trade Off and Why PPC is concave to the origin (June 2023)
 - Under-utilization of resources and Full employment of resources (June 2022, Dec 2022)
7. **List out the advantages and disadvantages of Joint Stock Company.** (Dec 2021)

8. **Define cross elasticity of demand.** A tea manufacturing company was able to sell 8000 kg of tea when the price of coffee was Rs.70 per kg. Later they were able to sell 9000 kg when the price of coffee became Rs.80 per kg. Calculate the cross elasticity of demand for tea. Are the two commodities substitutes or complements? Give reason. (Dec 2021)
9. **Define price elasticity of demand.** A company producing soft drink is selling its product for Rs. 22. It sells 1000 units, and then increases the price to Rs.24. Now sales fall to 900 units. What is the price elasticity of soft drink? Is the demand elastic or inelastic? Why? (Dec 2021)
10. **With the help of diagram explain Deadweight loss.** (Dec 2021)

10 MARKS

1. **Explain various types of price elasticity of demand and state its formula.** (May 2023)
2. **What is Joint Stock Company? Discuss the advantages and disadvantages of Joint Stock Company.** (May 2023)

14 MARKS

1. **What is a production possibility curve? With the help of a production possibility curve, explain:**
 - (i) Trade Off (ii) Why PPC is concave to the origin? (June 2023)
 - 1. Under-utilization of resources 2) Full employment of resources (June 2022)
2. **Calculate the marginal utility from the following data:** X 1 2 3 4 5 6 7 8 TU 11 19 26 31 34 36 36 30 (June 2023, Dec 2022)
3. **With a diagram explain deadweight loss and how it is related to taxation. Also explain how the imposition of a tax affects consumer and producer surplus.** (June 2023, Dec 2022)
4. **Explain the law of diminishing marginal utility with diagram?** (June 2022)
5. **State the law of supply and explain the determinants of supply.** (June 2022)
6. **Draw total utility and marginal utility curves and derive the three relations between marginal utility and total utility.** (Dec 2021)
7. **What is cross elasticity of demand?** Suppose cross elasticity of demand between X and Y is 0.5. If there is a 50 percent change in the price of Y, what will be the percentage change in the quantity demanded of X? (Dec 2021)
8. **What is deadweight loss of a tax? Examine the consumer and producer surplus before and after a tax with the help of a diagram.** (Dec 2021)
9. **The demand function of a product is given as $D = 60 - 2P$ and the supply function $S = 30 + 4P$.** Estimate equilibrium price and equilibrium quantity. Also find the excess supply when Price equals Rs.6? (Dec 2021)

MODULE 2

3 MARKS

1. **Distinguish between explicit and implicit cost.** (Jan 2024)
2. **What is shut down point?** (Jan 2024)
3. **Explain the conditions for profit maximization of a firm.** (Jan 2024)
4. Given below are the production function of firm A, $Q = 2K^{0.25} L^{0.75}$. The firm uses 5 units of labour (L) and 5 units of capital (K). Calculate the output. If we reduce L by 10%, how much K would be increased to produce the same output. (June 2023, Dec 2022)
5. **Explain how equilibrium price of a commodity is determined.** (June 2023, Dec 2022)
6. **Define expansion path.** (Dec 2021)
7. **What is margin of safety. What happens when margin of safety is low?** (Dec 2021)
8. **What do you mean by labour augmenting technical progress?** (Dec 2021)
9. **Suppose $AC > Price > AVC$. Will a producer produce or shutdown in the short run? Give reason.** (Dec 2021)
10. **Distinguish between Fixed cost and variable cost.** (May 2023)
11. **Define break-even point.** (May 2023)

7 MARKS

1. **State and explain the law of variable proportion.** (Jan 2024)
2. **What are isoquants? Describe its characteristics.** (Jan 2024)
3. **With the help of a diagram, explain producer's equilibrium and expansion path.** (Jan 2024)
4. **Explain break even analysis with the help of a diagram. What are its uses?** (Jan 2024)
5. **Explain break-even analysis with a diagram.** (June 2023, Dec 2022)
6. **In a firm if $AVC < P < AC$, will the firm shutdown or continue to produce in short run? Explain in detail with diagram where, P-Price, AVC-Average Variable Cost, AC-Average Cost.** (June 2023, Dec 2022)
7. **Diagrammatically explain the law of variable proportions.** (June 2023, Dec 2022)
8. **A firm's total cost function is given by the equation, $TC = 4500 + 10Q + 25Q^2$. Write the expression for the following cost concepts.** (a) AFC (b) AVC (c) AC (d) MC (June 2023); (a) TFC, (b) AFC, (c) TVC (d) AVC (e) AC and (f) MC (Dec 2022)
9. **Explain Law of variable proportion with a diagram.** (Dec 2021)
10. **Explain Marginal revenue and Average revenue in Perfect competition and imperfect competition with graph.** (Dec 2021)
11. **Define Isoquant curve. Explain the properties of Isoquant curve.** (Dec 2021)
12. **The total sales of a manufacturing firm is Rs 20000 in this year. Its variable costs are Rs 8000 while its fixed costs are Rs 6000 for that year. Find the breakeven point of this firm.** (Dec 2021)

10 MARKS

1. **Derive an equation for break-even quantity with the help of break-even chart.** (May 2023)
2. **Explain the assumptions, uses and limitations of break-even analysis.** (May 2023)

14 MARKS

1. **Discuss cost-output relationship in short-run and long-run.** (June 2022)
2. **What are isoquant curves? State their properties.** (June 2022)
3. **In a production function, $Q=2L^{1/2} K^{1/2}$. If $L= 36$, 1) How many units of capital are needed to produce 60 units of output. 2) In the production function, $Q=2L^{1/2} K^{1/2}$ determine the percentage increase in output if labour is increased by 10% assuming capital is held constant.** (June 2022)
4. **Explain the law of variable Proportions.** (June 2022)
5. **What do you mean by returns to scale? Represent it using a figure.** (Dec 2021)
6. **Suppose a firm pays Rs. 10000 as monthly rent and Rs. 10000 as interest payment. Its monthly expenditure on raw materials is Rs.40000 and it get monthly sales revenue of Rs.80000. The price of one unit of output is Rs.40. Estimate i) PV Ratio ii) Break even sales iii) Break-even output iv) Profit earned v) Margin of safety** (Dec 2021)
7. **How will you explain producer's equilibrium with the help of an isoquant and isocost line?** (Dec 2021)
8. **The total cost function of firm is given as $TC=500+5Q - 4q^2+q^3$. Estimate TVC, TFC and MC when output equals 10 units.** (Dec 2021)

MODULE 3

3 MARKS

1. **Illustrate why the demand curve in perfect competition is perfectly elastic.** (Jan 2024)
2. **Elucidate the features of a monopolistic competition.** (June 2023, Dec 2022)
3. **Explain cost-plus pricing.** (June 2023, Dec 2022)
4. **What are the features of perfect competition?** (June 2022)
5. **Define market structure.** (June 2022)
6. **What is collusive oligopoly?** (Dec 2021)
7. **What is price skimming?** (Dec 2021, May 2023)
8. **Why a firm under perfect competition is called a price taker?** (Dec 2021)
9. **Explain oligopolistic competition with its features.** (May 2023)

7 MARKS

1. **Explain equilibrium of a firm under monopolistic competition.** (Jan 2024)
2. **Write notes on:** i) cost plus pricing ii) target return pricing iii) predatory pricing iv) price skimming. (Jan 2024)
3. **Compare the market situation of monopoly and monopolistic competition.** (Jan 2024)
4. **Diagrammatically explain the situation, 'A firm functioning under perfect competition is facing loss in short run'.** (Jan 2024)
5. **Compare the market structures: perfect competition, monopoly and oligopoly.** (June 2023, Dec 2022)
6. **What is price skimming?** (June 2023, Dec 2022)
7. **Describe on product pricing and explain the different methods used for pricing.** (June 2023, Dec 2022)
8. **Explain kinked demand curve.** (June 2023, Dec 2022)
9. **Distinguish between monopoly and oligopoly.** (Dec 2021)
10. **With the help of a diagram, explain equilibrium under monopolistic competition.** (Dec 2021)
11. **Explain kinked demand curve model.** (Dec 2021)
12. **Which are the different types of Non price competition under Oligopoly.** (Dec 2021)

10 MARKS

1. **What is perfect competition? Why does the demand curve of a firm facing perfect competition is perfectly elastic?** (May 2023)
2. **Compare and differentiate between perfect competition, monopolistic competition and monopoly.** (May 2023)

14 MARKS

1. **Compare the market situation of perfect competition with monopoly.** (June 2022)
2. **What is collusive oligopoly?** (June 2022)
3. **What is pricing and what are the different methods used for pricing?** (June 2022)
4. **Explain kinked demand curve.** (June 2022)
5. **Make a comparison between monopoly and monopolistic competition. Draw figures showing the determination of equilibrium under both.** (Dec 2021)
6. **Explain cost plus and going rate pricing.** (Dec 2021)
7. **What are the major features of monopolistic competition? Suppose a firm under monopolistic competition is getting supernormal profit. Draw a diagram and explain this situation.** (Dec 2021)
8. **State the features of Oligopoly. Why price is rigid under oligopoly?** (Dec 2021)

MODULE 4

3 MARKS

1. **Describe the fiscal policy measures to control an inflationary situation.** (Jan 2024)
2. **What are government securities?** (Jan 2024)
3. **Differentiate between GDP and GNP.** (June 2023, June 2022, Dec 2022)
4. **Write a note on stock indices in India.** (June 2023)
5. **What is money market & define its functions.** (June 2022)
6. **How does open market operation work to affect the money supply?** (May 2023)
7. **What are the difficulties in the measurement of national income?** (May 2023)
8. **Distinguish between final goods and intermediate goods.** (Dec 2021)
9. **What is a Trading account?** (Dec 2021)

7 MARKS

1. **Write notes on:** i) NIFTY and SENSEX ii) Demat and Trading account iii) Bank Rate iv) CRR and SLR (Jan 2024)
2. **Explain circular flow of income in a four sector economy.** (Jan 2024)
3. **Explain the monetary policy measures to control inflation.** (Jan 2024)
4. **Discuss the sources of business financing.** (Jan 2024)
5. **Explain in detail the circular flow of income in a four sector model with a neat diagram.** (June 2023, Dec 2022)
6. **Estimate GDP_MP, GNP_MP and National Income.** Private consumption expenditure = 2000 (in 000 crores), Government consumption = 500, NFIA = -300, Investment = 800, Net exports = 700, Depreciation = 400 and Net-indirect tax = 300. (June 2023, Dec 2022)
7. **Define Inflation and explain cost push and demand pull inflation. Are the monetary or fiscal measures more effective in controlling inflation?** (June 2023, Dec 2022)
8. **Write notes on:** i) Bonds and Shares ii) Demat Account (June 2023)
9. **Explain Circular flow of income in two sector model and four sector model.** (Dec 2021)
10. **From the data given below estimate the NDP, using income method and expenditure method.**
Items (Rs.Crores): Consumption expenditure 3000, Investment expenditure 2000, Government expenditure 700, Exports 600, Import 300, Intermediate Consumption 2000, Wages and salaries 2000, Rent 500, Interest 500, Profit 1000 (Dec 2021)
11. **What are the different methods used to control Inflation.** (Dec 2021)
12. **From the data given below estimate Gross National Product, Net National Product and National income.** GDP 5000 (in 100 billion), NFIA -50, Indirect tax 70, Subsidies 20, Depreciation 30 (Dec 2021)

10 MARKS

1. **Describe the circular flow concept using a four sector model.** (May 2023)
2. **What are the monetary measures of controlling inflation? Are the monetary or fiscal measures more effective in controlling inflation?** (May 2023)

14 MARKS

1. **Explain the methods of national income calculation.** (June 2022)
2. **What are the difficulties in the measurement of NI?** (June 2022)
3. **What is inflation and what are the fiscal policy measures to control inflation?** (June 2022)
4. **What is repo rate and how it controls inflation?** (June 2022)
5. **What is monetary policy? What are the monetary policy measures?** (Dec 2021)
6. **How is national income estimated according to the income method?** Estimate NDP and NNP from the given data (all figures in Rs. Crores). Wages and salaries = 800, Rent = 300, Depreciation = 200, Interest = 400, Net Indirect tax = 400, NFIA = 100, Profit = 400. (Dec 2021)
7. **Distinguish between the money market and the capital market** (Dec 2021)
8. **Suppose the national income of a country is Rs1000 and depreciation equals Rs300. If NFIA equals Rs (-400) and Indirect Taxes equals Rs300, estimate NNP, NDP, GDP and GNP (all figures in Rs. Crores).** (Dec 2021)

MODULE 5

3 MARKS

1. **Differentiate between devaluation and depreciation.** (Jan 2024)
2. **Examine the advantages of protectionism in international trade.** (Jan 2024)
3. **Explain Heckscher-Ohlin theory.** (June 2023)
4. **Summarize on Balance of Invisibles.** (June 2023)
5. **What do you mean by BOP?** (June 2022)
6. **What is free trade and what are its advantages?** (June 2022, May 2023)
7. **Distinguish between exchange depreciation and devaluation.** (May 2023)
8. **What do you mean by Balance of Trade?** (May 2023)
9. **Point out any three items coming under unilateral transfers account.** (Dec 2021)
10. **What is balance of payments?** (Dec 2021)
11. **What is free trade?** (Dec 2021)
12. **What is Devaluation** (Dec 2021)
13. **What is international trade? List out the advantages of foreign trade.** (Dec 2022)

14. **What is balance of payments? List out its components.** (Dec 2022)

7 MARKS

1. **Explain absolute advantage theory of international trade.** (Jan 2024)
2. **With the help of a diagram, examine the effects of tariff.** (Jan 2024)
3. **What is meant by BOP? What are the measures to correct disequilibrium in BOP?** (Jan 2024)
4. **Explain comparative cost advantage theory.** (Jan 2024)
5. **Compare the theory of absolute advantage and the theory of comparative advantage with examples.** (June 2023, Dec 2022)
6. **Examine any two effects of tariff in international trade.** (June 2023)
7. **Differentiate between free trade and protectionism.** Also discuss on the current account component of balance of payment. (June 2023, Dec 2022)
8. **What do you mean by devaluation? Explain the conditions for its success.** (June 2023, Dec 2022, Dec 2021)
9. **What is international trade? List out the advantages of Foreign trade?** (Dec 2021)
10. **What are tariff barriers? Explain its impact on the economy.** (Dec 2021)
11. **What are the arguments in favor of free trade?** (Dec 2021)
12. **Explain the absolute advantage theory with the help of an example.** (Dec 2021)

10 MARKS

1. **Differentiate between the theory of absolute advantage and the theory of comparative advantage.** (May 2023)
2. **Explain the causes for and the methods of correcting disequilibrium in BOP.** (May 2023)

14 MARKS

1. **State and explain the Heckscher-Ohlin theory of international trade.** (June 2022)
2. **What do you mean by devaluation? Explain the conditions for its success.** (June 2022)
3. **Explain any four measures to solve the problem of deficit in the balance of payments.** (June 2022)
4. **List any six arguments in support of protectionism.** (June 2022)
5. **Examine the comparative cost theory. Point out any two criticisms against this theory.** (Dec 2021)
6. **What is protection? State any five arguments in favor of protection.** (Dec 2021)
7. **What are the disadvantages of foreign trade? Examine the effects of quotas on international trade.** (Dec 2021)

8. **Evaluate the success or failure of devaluation when the demand for import is more elastic or less elastic.** (Dec 2021)